

sinking 35%, sending them into a bear market. Individual stocks have been decimated, dropping up to 70% from their peaks made late last year.

In late March 2020, the markets started to rebound on hope that the recovery is in sight. Poor corporate earnings usually send their stocks down and the larger names pull down the general market as well. But the markets shrug off the bad news (a bullish sign). Future quarters may also suffer, so there's lots of risk (or potential reward) to buying now. Uncertainty is why the markets are so volatile, gaining or losing thousands of points in one trading session.

The pattern we're seeing in individual stocks is called a diving board. It's a flat base (the board) followed by a steep plunge and then a recovery. The pattern shares a shape similar to the cloudbank chart pattern, but the details are different.

I discovered the diving board pattern on Thanksgiving Day, 2010, when I went shopping for stocks to buy. I was on the weekly scale and saw a flat base followed by a plunge (diving into the water) and a straight-line recovery (returning to the surface and climbing out of the water). The flat base reminded me of a diving board and subsequent plunge into the water, hence the pattern's name.

This pattern is one I search for frequently when the markets are soaring to new highs and many good stocks are overvalued (priced too high). I switch to the weekly charts and search for diving board patterns. They represent good value with the potential for long-term appreciation. But they are not low risk, especially if you buy near the plunge low (I'll discuss what *plunge* means later).

The above Results Snapshot shows a high average rise and small failure rate. Those two are like opposite ends of a seesaw: When one goes up, the other goes down. Because the pattern is so tall, the percentage meeting the price target (62%) is not as high as I like to see. It's a warning that making a profit from this pattern may not be as easy as the low failure rate suggests.

The numbers also come from the weekly scale, so there are only two other chart patterns to compare against. Searching for the ultimate high on the weekly scale gives much higher results than doing so on the daily scale, so don't compare the results of this pattern to those on the daily scale.